

won't want a driver who is so cautious on the road that he stops even before the light turns orange. I remember hiring a driver like that once. The guy would not go beyond 30kmph, and would start slowing down even on green lights.

I'm a very careful driver, and my routine direction to my drivers is that I have plenty of time – no need to rush, so drive safe. But this guy was something else. A journey that takes an otherwise careful driver to complete in thirty minutes took our friend fifty. Needless to say, I got another driver very soon.

Back to mutual funds – you want to be safe, but not be silly safe. When you take the metro, you are taking a very predictable mode of transport. The skill of the driver does not matter that much, and you reach your destination in the time it takes every day. It costs less than a cab but may take longer to reach than the taxi.

An active fund is like the taxi – you are choosing a mutual fund where the fund manager has a view on the market, chooses his stocks to fit the investment mandate, and then manages the money by trading every day. Just as your experience of the taxi ride depends a lot on your driver, so also the performance of an active fund depends a lot on the fund manager. Just as the taxi driver works in the overall corporate environment of a taxi firm – Uber, for instance – so also the fund manager according to the rules set up by the fund.

A taxi driver of a firm that places a very high value on passenger safety will have mechanisms built in to ensure safety. Another firm may value safety less and will have lower standards. Similarly, a fund house may have very good risk management systems, making the fund manager a safe driver, and another fund house may not. Other than the risk of the market going up and down, or volatility, in an active fund, you also have to deal with the risk of the fund manager taking too many risks or too few.

A passive fund is like taking the metro. You know the cost, you know the distance and you know when you will reach – you don't have to choose the driver, you just need to get to the station and board the right train. A passive fund just buys the index and stays with it. Passive funds don't invest in large research desks, or brokers and dealers, since all they are doing is buying an index and sticking with it. Changes, if any, happen when the composition of the index